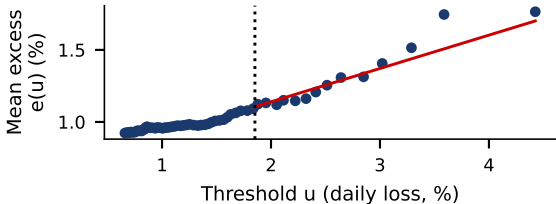


S&P 500 losses: mean excess plot



- Empirical mean excess $e(u)$
- GPD implied: $(\beta + \xi (u - u_0)) / (1 - \xi)$
- Threshold $u_0 = 1.85\%$ (top 5% of losses above it)